

TENTATIVE RULINGS FOR DEPT. S36 [DATE]
BEFORE THE HONORABLE JOSEPH WIDMAN

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a “Stipulation and Order For Appointment of Official Reporter Pro Tempore” to the court in the form found on the Court’s website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department S-36 at kkosmatka@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT’S WEBSITE.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court’s website after 3:00 p.m. the day before the hearing at [Tentative Rulings | Superior Court of California | County of San Bernardino](#)

You may appear by remote appearance at the hearing. (<https://www.zoomgov.com/my/dept.s36>)

You must appear at the hearing, unless ordered otherwise, prepared to address the issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

JEFRY REYES, ANA GUARDADO,

Plaintiffs,

v.

DANIEL MAURICE VILLALBA,

Defendant.

Case No.: CIVSB2519702

**[TENTATIVE] ORDER DENYING
DEFENDANT'S MOTION TO SET
ASIDE DEFAULT**

I. INTRODUCTION

This litigation concerns title and rights to real property. On July 8, 2025, Plaintiffs Jefry Reyes and Ana Guardado filed their Complaint against Defendant Daniel Maurice Villalba. The Complaint pleads 7 causes of action: (1) promissory fraud, (2) quiet title, (3) constructive trust, (4) declaratory relief, (5) accounting, (6) conversion, and (7) money had and received. Defendant Villalba defaulted on August 29, 2025.

A. Complaint's Allegations

The Complaint alleges that on September 20, 2020, Reyes and Guardado entered into a contract with Villalba to purchase the property at 6995 Summit Valley Rd., Hesperia (Subject Property). They would pay \$250,000 in cash, and pay the monthly mortgage payment amount to Villalba. In exchange, Villalba would quitclaim the Subject Property to Reyes and Guardado. Despite Plaintiffs complying with their obligations, Defendant did not transfer the title in the property to them or apply their monthly payments to the mortgage (§§ 6-8, 10).

B. Pending Motion

Defendant Villalba seeks to set aside his default, based upon equitable mistake. Plaintiffs Reyes and Guardado oppose. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.

II. APPLICABLE LAW

A motion to set aside is premised on Code of Civil Procedure sections 473, subdivisions (b) or (d), or 473.5, or on extrinsic grounds.

A court has broad discretion to vacate a default judgment, default, or order; however, said discretion can only be exercised if the moving party establishes a proper ground for relief, by proper procedure, and within the appropriate periods. (*Cruz v. Fagor America Inc.* (2007) 146 Cal.App.4th 488, 495.) The law strongly favors trials on the merits, so any doubts about setting aside a default must be resolved in favor of the party seeking such relief. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.) When the defaulting party moves promptly to seek relief, and the opposing party has or will suffer little prejudice, very slight evidence is required to justify setting aside a default. (*Ibid.*; *Shamblin v. Brattain* (1988) 44 Cal.3d 474, 478.)

Three essential requirements must be met to obtain equitable relief: (1) a meritorious defense, (2) a satisfactory excuse for not presenting a defense to the original action, and

(3) diligence in seeking to set aside the default once it was discovered. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 982.) A party seeking relief under the Court's equitable extrinsic powers must make a stronger showing than would be necessary for relief under Code of Civil Procedure section 473. (*Gibble v. Car-Lene Research, Inc.* (1998) 67 Cal.App.4th 295, 314-15.) No time limit exists for setting aside a default because of extrinsic mistake/fraud. (*Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.)

The Court has the inherent equitable power to grant relief from a default when there is a showing of extrinsic fraud or mistake. (*Weitz v. Yankosky* (1966) 63 Cal.2d 849, 855; *Olivera v. Grace* (1942) 19 Cal.2d 570, 575-76.) Extrinsic fraud results when a party is denied the opportunity to present his claim or defense to the court, *i.e.*, where he was kept in ignorance or some other manner fraudulently prevented from fully participating in the proceedings. (*In re Marriage of Stevenot* (1984) 154 Cal.App.3d 1051, 1068.) Extrinsic mistake involves the excusable neglect of a party when the neglect results in an unjust judgment, without a fair adversary hearing, and the basis for equitable relief is present. (*Rappleyea, supra*, 8 Cal.4th at p. 981; *Manson, Iver & York v. Black* (2009) 176 Cal.App.4th 36, 47.) Examples of extrinsic mistakes are “[a] party becomes incompetent but no guardian ad litem is appointed [citations]; when one party relies on another to defend [citations]; when there is reliance on an attorney who becomes incapacitated to act [citations]; when a mistake led a court to do what it never intended [citations]; when a mistaken belief of one party prevented proper notice of the action [citations]; or when the complaining party was disabled at the time the judgment was entered [citations].” Relief has also been extended to cases involving negligence of a party’s attorney in not properly filing an answer [citations]; and mistaken belief as to immunity from suit [citation].” (*Kulcher v. Kulcher* (1969) 1 Cal.3d 467, 471-72 [*Kulcher*].)

III. WHY THE MOTION SHOULD BE DENIED

Defendant Villalba attests that he owns the Subject Property. Plaintiffs Reyes and Guardado occupy it under a verbal arrangement, which included a potential right to purchase. However, a dispute arose between themselves on their full performance and entitlement to title. (Villalba Decl. at ¶¶ 2-4.) Villalba attests that Reyes and Guardado were frequently late with their payments, fell behind during extended periods, and stopped making payments. (Villalba Decl. at ¶ 5.) On July 24, 2025, the parties signed Addendum No. 1, which Villalba believed was a settlement agreement where the Subject Property would be sold, and Plaintiffs would be paid \$240,000 from the sale proceeds. The parties would sell the property rather than continue pursuing litigation. Villalba did not understand that Reyes and Guardado would pursue his default judgment and acquire the Subject Property while in dispute over payment obligations, sales terms, escrow issues, and the effect of the signing of the Addendum No. 1. (Villalba Decl. at ¶¶ 8-11.) Villalba attests that he has meritorious defenses that include statute of frauds, consideration, breach, unclean hands, waiver, and estoppel. (Villalba Decl. at ¶ 18.) He is ready to file a demurrer to challenge the sufficiency of the Complaint. (Exh. K to Stelnick's Decl.) Finally, he notes he moved to set aside his default soon after he received a copy of Plaintiffs' default packet on May 11, 2026. (Villalba Decl. at ¶¶ 14-15; Stelnick Decl. at ¶ 10, Exh. E.)

Plaintiffs note that Defendant Villalba has been on notice that he has been in default since September 8, 2025, when counsel emailed him that he was in default. His default was reiterated in an email sent on February 20, 2026. Defense counsel recognized the default existed when she responded to the February 20 email on March 5, 2026. (Chemerinski Decl. at ¶¶ 5, 7-9, Exhs. A, C, & E.)

Although Defendant submits facts suggesting that he may have a meritorious defense, Defendant has not established that he has a satisfactory excuse for not responding to the lawsuit, nor that he exercised diligence since learning that he was in default.

First, contrary to Defendant's position, although he may have moved diligently after service of the default packet to seek to set aside his default, he did not move diligently after being made aware, as early as September 2025, that he was in default. Defense Counsel even recognized the default existed in March 2026 but made no effort to set aside the default until May 2026, and only after a default judgment packet was served. This does not demonstrate diligence in seeking to set aside the default upon being expressly made aware of its entry in September 2025, and again in February 2026.

Second, Villalba does not provide a satisfactory excuse for not responding to the Summons and Complaint. Per the evidence, Villalba made an erroneous assumption that nothing would occur in the litigation while the parties were actively disputing title issues. But the point of the litigation was to resolve those disputed title issues. Villalba also states that he believed the signing of Addendum No. 1 on July 24, 2025 constituted a settlement. Without determining whether it was a settlement or not, no evidence is offered that Plaintiffs agreed, in association with signing the Addendum, that they would dismiss this litigation. Furthermore, after this purported settlement, Villalba was made aware that his default was entered in this litigation. The entry of the default would raise doubt that Plaintiffs were foregoing the pursuit of their claims in this litigation against Villalba.

The facts and evidence support that Villalba decided not to respond to the Summons and Complaint and raise any challenges to Plaintiffs seeking to acquire title in the Subject Property. This is not a case where he could not respond; was relying on his attorney or third party to

respond and they failed to do so; or was kept mistakenly ignorant of the lawsuit. Extrinsic mistake is not proper “if a party has been given notice of an action and has not been prevented from participating therein. He has had an opportunity to present his case to the court and to protect himself from mistake or from any fraud attempted by his adversary.” (*Kulcher, supra*, 1 Cal.3d at p. 472.)

Finally, Defendant argues that statutory protections exist concerning quiet title cause of action. While these protections apply, they do not warrant granting this motion; rather, they grant Defendant the limited right to participate in open court despite his default. If a defaulted defendant appears prior to judgment, the court must hear admissible evidence offered by that party regarding its claims (*Id.* at p. 1504; *Paterra v. Hansen* (2021) 64 Cal.App.5th 507, 532).

IV. CONCLUSION

Defendant Villalba’s Motion to Set Aside is DENIED. Defendant fails to establish a satisfactory extrinsic mistake and due diligence in seeking to set aside his default upon being informed of its entry.

IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

CHRISTOPHER BLUNT,

Plaintiff,

v.

ADAMS & BROOKS, INC.,

Defendant.

Case No.: CIVSB2534190

**[TENTATIVE] ORDER DENYING
MOTION TO COMPEL
ARBITRATION FILED BY
DEFENDANT ADAMS & BROOKS,
INC.**

V. INTRODUCTION

A. The Complaint and Allegations

This is a wage and hour class action. On November 20, 2025, Plaintiff Christopher Blunt filed his Complaint against Defendant Adams & Brooks, Inc. (Adams) alleging ten causes of action for various Labor Code violations for minimum wages, reporting time, unpaid overtime, meal and rest breaks, untimely wage payment, wage statements, failure to reimburse business expenses, plus an unfair competition claim under Business & Professions Code section 17200, *et seq.* Adams answered.

Plaintiff worked for Defendant from approximately August 2015¹ to May 2023 as a cook and forklift driver in Adams' San Bernardino location. The Complaint states it is a class action to recover damages on behalf of Plaintiff and all current and former hourly-paid or non-exempt employees who worked for Defendant at any time during the four-year period preceding the filing of the action through final judgment.

B. Motion to Compel Arbitration

Now before the court is Adams' motion to compel arbitration. Plaintiff opposes and Adams replies. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.

VI. EXPLANATION OF COURT'S RULING

Adams contends that Plaintiff signed two separate arbitration agreements: one called the 2006 Agreement signed during Blunt's hiring on 8/17/16 then a few months later a second document called the 2016 Agreement which Blunt also purportedly signed. (Brooks Decl., ¶¶ 8, 9, 12-15, Exhs. A, B.)

Under both the Federal Arbitration Act (FAA) and under California law, to compel arbitration, a finding must be made that a valid agreement to arbitrate exists between the parties. (*Chiron Corp. v. Ortho Diagnostic Sys.* (9th Cir. 2000) 207 F.3d 1126, 1130; *Trinity v. Life Ins. Co. of North America* (2022) 78 Cal. App. 5th 1111, 1120 (*Trinity*).)

A. 2006 Agreement

For the 2006 Agreement, Brooks states that Blunt "was requested to sign the agreement." (Brooks Decl., ¶ 11.) Then she states she countersigned the agreement. (*Ibid.*) Earlier, when

¹ Plaintiff's opposing declaration here states his employment started August 17, 2016. (Blunt Decl., ¶ 4.)

authenticating the 2006 Agreement, Brooks stated it was signed by herself and Blunt. (Brooks Decl., ¶ 5, Exh. A.)

Defendant does not recite the 2006 Agreement verbatim in its memorandum; instead, it attaches a copy as Exhibit A to the Brooks and Huang declarations. But, as Plaintiff observes in opposition, the 2006 Agreement appears to be missing at least two pages. (Brooks Decl., Exh. A; Huang Decl., Exh. A.) The 2006 Agreement supplied to the court skips from page 1 to page 3 to page 5, and from paragraph 2 to paragraph 6 and from paragraph 8 to paragraph 13. (*Ibid.*) Thus, multiple paragraphs and at least two pages of the 2006 Agreement appear to be missing.

Whether an agreement was formed is determined under ordinary principles of state contract law. In resolving that question, “[t]he trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 164 (*Gamboa*), rejected on other grounds by *Ramirez v. Golden Queen Mining Co., LLC* (2024) 102 Cal.App.5th 821 (*Ramirez*), quoting *Engalla v. Permanente Med. Grp., Inc.* (1997) 15 Cal.4th 951, 972.); Cal. Rules of Court, rule 3.1330.) “The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence.” (*Gamboa, supra*, 72 Cal.App.5th at p. 164.)

Because the 2006 Agreement is incomplete, Defendant has not met its threshold burden to attach a copy of the 2006 Agreement purporting to bear the opposing party’s signature or set forth the agreement’s provisions verbatim in the motion. (*Gamboa, supra*, 72 Cal.App.5th at p. 165; Cal. Rules of Court, rule 3.1330.) Therefore, Defendant did not show that the purported 2006 Agreement discloses an agreement to arbitrate between Adams and Plaintiff. (*Trinity*,

supra, 78 Cal. App. 5th at p. 1120.) In their reply, Defendant did not cure this defect regarding the 2006 Agreement.

B. 2016 Agreement

In December 2016, Adams updated its arbitration agreement, held an employee meeting to explain its adoption, then in subsequent days called each employee into Human Resources to have them sign the 2016 Agreement. (Brooks Decl., ¶¶ 12-14.) Then, Brooks states that Blunt signed the 2016 Agreement on 12/8/16 and a copy was placed in his personnel file. (Brooks Decl., ¶ 15, Exh. B.)

The 2016 Agreement appears to be complete, spanning pages 1 to 8 and paragraphs 1-19 with the signature page at the end; page 1 references Blunt as the employee and appears to include his handwritten signature on page 8. (Brooks Decl., Exh. B; Huang Decl., Exh. B.) Moreover, the 2016 Agreement appears to cover the disputed claims at issue here, because it expressly states that employer and employee agree to arbitrate any and all claims and disputes “including but not limited to wage and hour laws that Employee may assert against Employer.” (Brooks Decl., Exh. B, p. 2, ¶ 1.) Therefore, Defendant satisfied its initial burden to attach a copy of the 2016 Agreement purporting to bear the opposing party’s signature which evidences an agreement to arbitrate. (*Gamboa, supra*, 72 Cal.App.5th at p. 165; Cal. Rules of Court, rule 3.1330.)

1. 2016 Agreement: Authenticity of Signature: Applicable Law

With the burden shifted to him, in opposition, Plaintiff disputes that he signed the 2016 agreement because he does not recall seeing or signing any arbitration agreement in 2016 and does not recall a December “all hands” meeting to explain the new arbitration agreement. (Blunt Decl., ¶ 9.)

A party's contention that he does not recall signing an arbitration agreement is a challenge to its signature; in the face of such evidence, the burden shifts back to the party compelling arbitration to prove by a preponderance of evidence that a signature was authentic under Evidence Code section 1401, meaning the signature is what the employer proponent claimed it was: "the act of" the employee who purportedly signed it (referencing Civil Code section 1633.9, subdivision (a), regarding attribution of electronic signatures). (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846 (*Ruiz*); accord *Gamboa, supra*, 72 Cal.App.5th at pp. 167-68.) The disputed signature in *Ruiz* was an electronic one. (*Ruiz, supra*, 232 Cal.App.4th at p. 846.) Here, the signature on the 2016 Agreement is handwritten. (Brooks Decl., Exh. B, p. 8.)

If a party disputes the authenticity of his signature, he must offer admissible evidence creating a factual dispute as to the authenticity of it; the opponent does not need to prove that his purported signature is not authentic, but must submit "sufficient evidence to create a factual dispute" and shift the burden back to the arbitration proponent. (*Ramirez v. Golden Queen Mining Co., LLC* (2024) 102 Cal.App.5th 821, 832-33 (*Ramirez*).)

The *Ramirez* court explains there is a split of authority among appellate courts as to what constitutes sufficient evidence to create a factual dispute about the authenticity of a handwritten signature on a document agreeing to arbitration. (*Ramirez, supra*, 102 Cal.App.5th at p. 825.) The *Ramirez* court identified specifically *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747 (*Iyere*) and *Gamboa, supra*, 72 Cal.App.5th 158 as the split authority. (*Ibid.*)

In *Gamboa*, a trial court denied a motion compelling arbitration because the employee's opposing declaration stated she reviewed the agreement in the employer's moving papers, did not remember the documents, no one told her about an arbitration agreement or explained it, and

had she been aware of its existence, she would not have signed it. (*Ramirez, supra*, 102 Cal.App.5th at p. 833, citing *Gamboa, supra*, 72 Cal.App.5th at pp. 163, 167.) In affirming the trial court's denial, the *Gamboa* court stated it did not need to decide if the employee challenged the authenticity of her purported signature on the agreement because it was enough that she challenged the authenticity of the agreement by saying under penalty of perjury that she did not remember it. (*Gamboa, supra*, 72 Cal.App.5th at p. 168; *Ramirez, supra*, 102 Cal.App.5th at p. 833.)

In contrast, in *Iyere*, the trial court denied a motion to compel because the employer failed to prove the authenticity of plaintiffs' signatures on an arbitration agreement. (*Iyere, supra*, 87 Cal.App.5th at p. 754.) In reversing the denial, the *Iyere* court evaluated the plaintiffs' opposition declarations where they stated on the first day of work they were given a stack of documents, told to quickly sign them so they could get to work, and signed the stack of documents immediately and returned them. (*Id.*, at p. 756.) The declarations also stated the employees did not recall reading or signing any document about arbitration and did not know how their signatures were placed on the document. (*Ibid.*)

The First District found the declarations did not create a factual dispute as to whether plaintiffs signed the agreements because they explicitly acknowledge the employees signed a stack of documents and do not deny the stack included the arbitration agreement. (*Iyere, supra*, 87 Cal.App.5th at p. 756.) While the employees did not recall signing the agreement, the court found no conflict between having signed a document on which their handwritten signature appears and, two years later, being unable to recall doing so; in the absence of any evidence that their purported signatures were not their own, there was no evidence that plaintiffs did not in fact sign the agreement. (*Ibid.*)

Thus, in *Gamboa*, not recalling a signature was enough to challenge its authenticity and shift the burden back to the employer, whereas under the facts in *Iyere*, where employees acknowledged signing a stack of documents containing an arbitration agreement, lack of recall was insufficient because there was no evidence the employees did not in fact sign the agreement because they did not deny the signatures were theirs.

The *Iyere* court reasoned that an individual is capable of recognizing his own signature; if he does not deny that the handwritten signature is his own, then his failure to remember signing is of little or no significance. (*Iyere, supra*, 87 Cal.App.5th at p. 757.) In distinguishing cases involving electronic signatures, the *Iyere* court explained that an individual cannot confirm or deny an electronic signature's authenticity by viewing a computer printout of a printed name followed by the words "electronic signature." (*Id.*, at p. 757.) In that factual situation, a person's inability to recall signing electronically may be regarded reasonably as evidence a person did not do so. (*Ibid.*)

2. 2016 Agreement & Existence of Agreement

Here, the purported employee signature on the 2016 Agreement is handwritten, not electronic. (Brooks Decl., Exh. B, p. 8.) In Blunt's opposing declaration, paragraphs 4-8 relate facts about his onboarding on the first day of work, August 17, 2016, which do not address the 2016 Agreement. (Blunt Decl., ¶¶ 4-8.) Then, Blunt shifts to discussing the 2016 Agreement stating the following: he does not recall a December 2016 all hands meeting explaining the new arbitration agreement; he does not recall seeing or signing any agreement in 2016; sometimes Human Resources would unexpectedly call him away to sign documents "randomly" and when that occurred, he was rushed, in the middle of his shift, and was not given time to review or understand the documents nor did he have an opportunity to ask questions. (Blunt Decl., ¶¶ 9-11.)

Similar to the employee in *Gamboa*, Blunt attests that he reviewed the arbitration agreements included in Defendant's motion papers and does not recall signing the 2016 Agreement; with respect to the 2006 Agreement, Defendant did not explain to him that he was signing an arbitration agreement requiring him to waive his right to a jury trial or pursue a class action. (Blunt Decl., ¶¶ 6, 9, 12; *Gamboa*, *supra*, 72 Cal.App.5th at p. 163.)

Unlike the employees in *Iyere*, where their declarations explicitly acknowledged signing a "stack of documents" that undeniably included an arbitration agreement, Blunt does not acknowledge signing the 2016 Agreement. (*Iyere*, *supra*, 87 Cal.App.5th at p. 756.) In that regard, the facts of this case are distinguishable from *Iyere* and the Court cannot so simply turn away Blunt's challenge to the 2016 Agreement based on lack of recall. With *Iyere* distinguishable, that would leave the rationale and guidance of the *Gamboa* decision and the *Ruiz* decision.

In *Gamboa*, the employee's opposing declaration stating she did not recall the agreement and would not have signed it had she been aware of it was sufficient to satisfy her burden to challenge the purported agreement's authenticity. (*Gamboa*, *supra*, 72 Cal.App.5th at p. 167.) In *Ruiz*, while the opposing party did not deny an electronic signature was his, he claimed he did not recall signing the agreement and would not have signed it had it been presented to him; the Fourth District, Division 2 found that this failure to recall signing the agreement shifted the burden back to the arbitration proponent to prove by a preponderance of evidence that the signature was authentic. (*Ruiz*, *supra*, 232 Cal.App.4th at p. 846.)

There is one more reason that justifies shifting the burden back to Defendant Adams to establish authenticity, and it involves Blunt's signature itself. The Court observes that the signatures on the 2006 and 2016 Agreements appear extremely similar. (Brooks Decl., Exhs. A,

B.) However, even a cursory visual inspection shows these signatures do not match Blunt's signature on his 8/3/26 declaration supplied in opposition to the motion. This discrepancy contributes to uncertainty about the authenticity of the signature on the 2016 Agreement. Coupled with Blunt's lack of recall about signing it and the fact he does not acknowledge signing the 2016 Agreement, that is sufficient evidence to create a factual dispute and shift the burden back to Adams to prove by a preponderance of evidence that Blunt's signature on the 2016 Agreement is authentic. (*Ramirez, supra*, 102 Cal.App.5th at pp. 832-33.)

With their reply, Adams does not submit any declaration or supporting documents. In the reply memorandum, Adams argues that Plaintiff undisputedly signed both arbitration agreements. This is not true, however, based on the analysis above, because Blunt does not expressly acknowledge or admit signing the 2016 Agreement and he disputes authenticity by claiming lack of recall.

With no other arguments and no evidence submitted with their reply, Adams did not establish by a preponderance of evidence that Blunt's signature on the 2016 Agreement is authentic. Therefore, Adams did not establish its threshold burden to prove the existence of a valid agreement to arbitrate Plaintiff's claims. Because the motion warrants denial, it is not necessary to address Plaintiff's unconscionability arguments.

VII. CONCLUSION

Defendant's motion to compel arbitration is DENIED because it did not establish the existence of a valid agreement to arbitrate.

IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]

Hon. Joseph B. Widman
Judge of the Superior Court

SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN BERNARDINO

SYNCHRONY BANK,

Plaintiff,

v.

CREAM CABAUG,

Defendant.

Case No.: CIVSB2607793

**[TENTATIVE] ORDER
GRANTING MOTION TO
COMPEL ARBITRATION AND
STAY PROCEEDINGS, FILED BY
DEFENDANT CREAM CABAUG**

VIII. INTRODUCTION

On March 11, 2026, Plaintiff Synchrony Bank filed a complaint against Defendant Cream Cabahug alleging a single cause of action for breach of contract. Plaintiff alleges Cabahug entered into a contract for a credit card but has failed to pay the principle sum of \$8,707.80 due and owing on the card.

Now before the Court is Cabahug's motion to compel arbitration and stay the proceedings arguing that Plaintiff's claim is subject to an arbitration agreement. Plaintiff opposes arguing that Cabahug has waived her right to arbitration and that arbitration would be too costly.

Cabahug did not reply. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.

IX. EXPLANATION OF THE COURT'S RULING

A. FAA Applies

The evidence shows that the arbitration agreement is subject to the FAA. The provided arbitration agreement states, “This Arbitration section is governed by the FAA.” (Cabahug Decl. Exh. A, [resolving a dispute with arbitration, (11. governing law)].) Further, the agreement states “This Agreement has been accepted by [Plaintiff] in Utah.” (Id., Exh. A, [important information about this agreement, (governing law)].) Plaintiff does not dispute the applicability of the FAA.

B. An Agreement to Arbitrate Exists

Cabahug meets her burden to show an arbitration agreement exists that covers Plaintiff's claim. In California, general principles of contract law determine whether the parties have entered a binding agreement to arbitrate and the party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842 (*Ruiz*).) Providing an executed copy of the arbitration agreement satisfies a defendant's initial burden. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058-60 (*Espejo*).) Upon providing the agreement, “the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement's existence [such as] by disputing the authenticity of their signature[.]” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*).)

With her motion, Cabahug provides a copy of the Account Agreement she asserts governs her credit card account. This agreement is the same agreement attached to Plaintiff's complaint in support of its breach of contract claim against Cabahug. The agreement states: “If either you or we make a demand for arbitration, you and we must arbitrate any dispute or claim

between you [...] and us [...] that directly or indirectly arises from or relates to your account, your account Agreement or our relationship.” (Cabahug Decl. Exh. A [resolving a dispute with arbitration, (1. claims and parties)].)

Plaintiff does not dispute the existence of the arbitration agreement or that it relates to Plaintiff’s claim. Plaintiff attached the arbitration agreement to its complaint and seeks payment from Cabahug under the terms of the agreement. (Compl ¶ 6, Exh. A.) The evidence establishes that Plaintiff’s claim is covered by the arbitration agreement.

Thus, Cabahug has shown that an arbitration agreement exists between the parties that covers Plaintiff’s claim.

C. Lack of Defense to Arbitration Obligation

Finally, Plaintiff does not present evidence establishing a defense to enforcement of the arbitration provision. Plaintiff, not Cabahug, bears the burden to establish any defense to arbitration, including that Cabahug waived her right. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

Plaintiff argues that under Code of Civil Procedure section 1281.5, subdivision (b), Plaintiff was required to file and serve her motion to compel arbitration within 30 days after service of Plaintiff’s summons and complaint. Plaintiff is mistaken. Section 1281.5 applies to the arbitration requirements associated with enforcement of “a claim of lien.” (Code Civ. Proc. ¶ 1281.5, subd. (a).) Section 1281.5 has no general applicability to the time in which a party must file a motion to compel arbitration beyond lien enforcement. Plaintiff does not seek to enforce a lien so the 30-day filing requirement of section 1281.5 is inapplicable.

Plaintiff has also failed to provide evidence that Cabahug has otherwise waived her arbitration rights. While a party’s litigation conduct may result in a waiver of the right to compel arbitration, such waiver must be shown by “clear and convincing evidence that the waiving party

knew of the contract right and intentionally relinquished or abandoned it.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584 (*Quach*).)

To establish Cabahug’s waiver, evidence is required to show “conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude that the party abandoned it.” (*Ibid.*) Other than arguing that Cabahug waited to file the motion which caused “prejudice to Plaintiff,” Plaintiff makes no evidentiary showing in support of this argument. Plaintiff does not identify any statements or conduct by Cabahug showing she intended to relinquish or abandon her right to arbitrate this dispute. Plaintiff filed the complaint on March 11, 2026. Cabahug filed her motion on May 26, 2026. These facts do not establish waiver.

Plaintiff also asks that the Court to deny Cabahug’s motion arguing that because it is only seeking to recover \$8,707.80, and the cost of arbitration would be disproportionate to Plaintiff’s potential recovery. Plaintiff provides no evidence to establish what the costs of arbitration would be, nor does it provide any authority establishing that cost considerations are a valid contract defense to an arbitration agreement. Thus, Plaintiff does not meet its burden to establish a defense to enforcement of the arbitration provision contained in its agreement.

X. CONCLUSION

Defendant Cream Cabahug’s motion to compel arbitration is GRANTED. These proceedings are STAYED pending completion of the arbitration.

IT IS SO ORDERED.

Dated: _____

[TENTATIVE – NOT FINAL]

Hon. Joseph B. Widman
Judge of the Superior Court